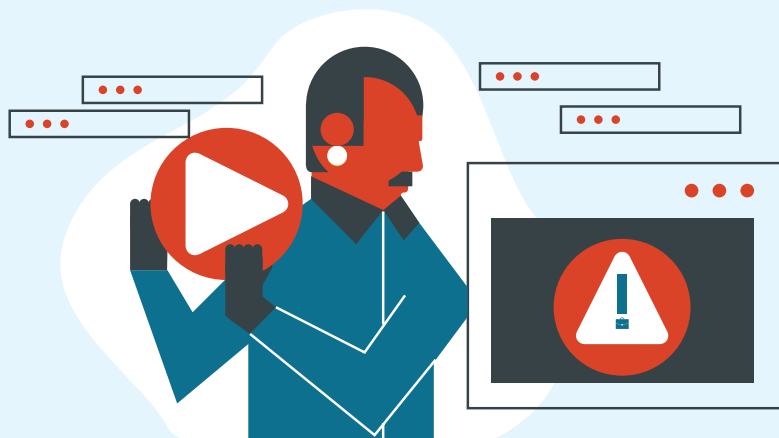


leading telecom players to pay TV operators and OTT services aspire to become future content gatekeepers,” says Mihir Shah, VP at media and telecom consultancy Media Partners Asia. OTT aggregation serves various purposes for different players. While telcos aggregate OTT services to retain subscribers and drive data consumption, OTT platforms have introduced aggregation to widen their user base. Separately pay TV operators, which have traditionally served as wholesalers of linear TV, already have an established prepaid subscription relationship with customers. Despite all that, Shah says that current monetisation through ads remains limited. “With the shift in consumer viewing preferences, OTT aggregation is a natural transition for these operators to retain and expand subscriber ARPU,” he adds.

Consequently, the OTT platforms get subscribers without having to spend any money on acquiring and retaining subscribers, which is normally their biggest cost. “Now that effort will be made by us, not them,” explains Nagpal. For him, Binge’s revenue model is simple. “We are commission agents. We make commission on whatever we sell. We buy at a certain price and sell it at a slightly higher price.” Hence, the margins are also thin.

According to a Ficci-EY report on India’s media and entertainment landscape prepared by Ashish Pherwani, Media & Entertainment Leader at EY India, long-term success in streaming requires establishing a durable relationship with subscribers. “Nearly all media companies that are active in the direct-to-consumer (DTC) arena today are aiming to offer consumers

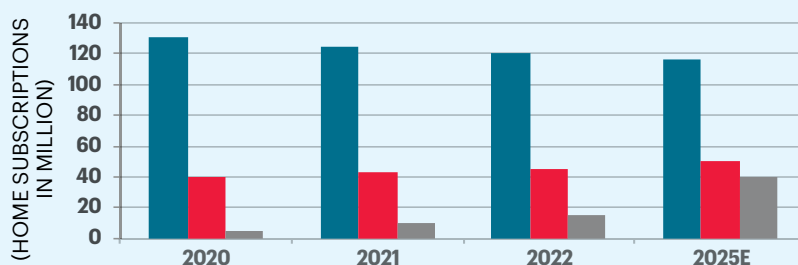


THE PLOT THICKENS

- 1** DTH leader Tata Play posted a net loss of ₹105 crore for the financial year ended March 2023 as opposed to a net profit of ₹69 crore in the previous fiscal
- 2** As the company looks to enter the OTT aggregation segment with Tata Play Binge, sceptics wonder if it’s a stroke of genius or a perilous folly
- 3** While the timing is right for Tata Play to diversify into the OTT aggregator business, there’s still a long way to go before Tata Play Binge becomes a strong cash-flow generator for it
- 4** Competition from telcos like Jio and Airtel, pure-play OTT aggregators like OTTplay, and OTT-cum-aggregator platforms like Amazon Prime Video and Apple TV+ is already intensifying
- 5** Changing customer behaviour in favour of OTT is another huge risk. Experts say that the growing popularity of OTT platforms could be a threat for DTH operators in the medium to long run

STRONG CONNECTION

Connected TVs have seen the highest year-on-year growth in all television segments



● PAY TV (CABLE + DTH + HITS) ● FREE TV ● CONNECTED TV
E ESTIMATE; HITS HEADEND IN THE SKY, AN AGGREGATOR SERVICE FOR TV CHANNELS; SOURCE EY ESTIMATES